

4.2 The marketing mix

Understanding the main elements of the marketing mix and how they combine to satisfy customer needs in a changing and competitive environment:

- **price** – understanding the main pricing strategies and when they might be applied – supply/demand, cost plus, penetration, competition, skimming, promotional
- **promotion** – understanding its aims and its main elements:
 - **below the line promotion techniques** – analysing their role and in what circumstances they might be applied. Techniques will include price reductions, gifts, point of sale, after sales, free samples, competitions
 - **types of advertising** – understanding persuasive and informative advertising and analysing when each might be applied
 - **types of advertising media** – understanding the main types of advertising media and analysing their appropriateness in different circumstances. Media will include TV, radio, cinema, newspapers, magazines, posters, leaflets, internet
 - **public relations** – analysing its role in the promotion of a business
- **place** – understanding the importance of place in the marketing mix and an analysis of the options available. Options will include: channels of distribution, methods of distribution (department stores, chain stores, discount stores, superstores, supermarkets, direct sales, mail order, internet)
- **product** – understanding the terms ‘goods’ and ‘services’. Understanding and analysing the key factors of branding, packaging and the product mix, and how they help determine and affect the success of the product. Understand the term ‘product life cycle’ and analyse how it can be used in decisions about the marketing of the product. Understanding how the Boston Matrix is used for product analysis.